

Product Quality and Recall Policy

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Department: Quality

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Purpose

This policy defines how product quality issues, defect signals, supplier quality problems, quarantine decisions, customer-impacting defects, and recall-like events should be identified and escalated. It applies across TraceStock AI customer operations, warehouse operations, and purchasing.

The policy is designed for situations where returns, complaints, receiving discrepancies, or warehouse inspections indicate that a product may not be safe, reliable, correctly described, or sellable.

Quality Signal Sources

Quality issues may be detected through customer returns, product reviews, support tickets, warehouse inspections, supplier receiving checks, sales decline, repeated exchanges, carrier damage reports, or manual staff observations.

Operational teams should treat the following as quality signals:

- Return reason includes defective, damaged, not as described, missing parts, safety concern, or repeated failure.
- Product return rate is above 8 percent over 30 days with at least 20 units sold.
- Defect-related return rate is above 3 percent over 30 days with at least 20 units sold.
- Warehouse inspection finds repeated packaging damage for the same SKU.
- Supplier receiving discrepancy repeats for the same SKU or supplier.
- Customer service receives three or more similar complaints for the same SKU within seven days.

Signals should be investigated before assuming the cause. A high return rate may indicate product defect, unclear product description, shipping damage, wrong item fulfillment, poor packaging, or customer expectation mismatch.

Quarantine Triggers

Warehouse teams must quarantine stock when there is credible risk that available inventory may be defective, unsafe, mislabeled, counterfeit, contaminated, missing critical accessories, or materially different from product data.

Quarantine is required when:

- A recall or safety warning is issued.
- Serial numbers do not match expected product records.
- Multiple units fail the same inspection.

- Supplier shipment includes material discrepancy.
- Returned items show repeated identical defect.
- Packaging or labeling creates compliance risk.
- Product condition cannot be verified.

Quarantined stock must not be sold, transferred, exchanged, or returned to available inventory until the review owner documents a release decision.

Quality Investigation Workflow

The investigation owner should collect available evidence before deciding corrective action. Evidence may include sales volume, return count, return reasons, defect descriptions, photos, warehouse inspection notes, supplier batch information, purchase order references, customer complaints, and affected warehouses.

The investigation should answer:

- What SKU or product group is affected?
- Which warehouses or channels are affected?
- What customer impact has occurred?
- Is the issue product quality, packaging, fulfillment, carrier damage, or product data?
- Is available inventory safe and sellable?
- Should stock be quarantined, inspected, relabeled, repaired, returned to supplier, or written off?

If evidence is incomplete, the investigation should remain open rather than inventing a root cause.

Severity Levels

Severity 1 applies when there is potential safety, regulatory, contamination, counterfeit, or recall risk. Stop sale and quarantine are required immediately.

Severity 2 applies when the product may be materially defective or repeatedly failing normal use. Quarantine or controlled release may be required depending on evidence.

Severity 3 applies when the issue affects customer satisfaction but does not create safety or major functionality risk. Examples include unclear instructions, minor cosmetic issues, packaging complaints, or non-critical missing accessories.

Severity 4 applies when the issue is informational or isolated. Monitor and document, but do not quarantine unless further signals appear.

Recall-Like Actions

The company may perform a formal recall only when required by law, supplier instruction, regulator notice, or executive decision. A recall-like operational hold may still be used before a formal recall decision.

Recall-like actions can include stop sale, customer notification, warehouse quarantine, supplier claim, marketplace listing hold, product page warning, exchange campaign, or disposal instruction.

Executive approval is required before sending customer-wide recall messaging unless legal or compliance teams require immediate notice.

Supplier Quality Claims

Supplier quality claims should be opened when goods are defective, damaged, short, mislabeled, non-conforming, or materially different from purchase order specification. Claims should include SKU, supplier, purchase order, affected quantity, photos or inspection notes, defect description, customer impact, and requested remedy.

Supplier claim activity should not delay customer recovery when the customer impact is clear. Customer refund or exchange decisions should follow the return policy while supplier recovery is handled separately.

Release From Quarantine

Stock can be released from quarantine only after the review owner documents the reason. Acceptable release reasons include passed inspection, supplier documentation confirms no issue, affected batch isolated, packaging replaced, label corrected, missing accessory added, or false alarm confirmed.

Released stock must be updated in the inventory system before it is promised to customers.

Root Cause Analysis

Every confirmed quality issue requires a root cause, not just a disposition. Quarantining stock removes the symptom; understanding the cause prevents the next occurrence.

The analysis records:

- What failed, described in terms of the product's function
- When the failure was introduced, by production batch or receipt date
- How many units are affected, and where they currently are
- Why existing controls did not catch it
- What changes prevent recurrence, with an owner and a date

An analysis that concludes "supplier error" without explaining why the receiving inspection did not detect it is incomplete.

Supplier Quality Escalation

Where a defect originates with a supplier, the finding is raised formally within five business days with evidence: photographs, affected quantities, batch identifiers, and the inspection result.

Defect rate observed	Action
Below 1 percent	Recorded and reported at the next supplier review
1 to 3 percent	Formal notice, supplier response required within 10 business days
3 to 5 percent	Improvement plan required, incoming inspection increased
Above 5 percent	Supply suspended pending investigation
Any safety defect	Supply suspended immediately

Costs arising from a supplier defect, including return shipping, replacement handling, and customer goodwill, are quantified and recovered where the contract allows.

Customer Notification

Where a defect affects products already sold, the decision to contact customers is made by Quality with the Head of Customer Operations, and is made on the basis of risk to the customer rather than commercial cost.

Notification is required where the defect could cause injury, property damage, or loss of data. It is discretionary where the defect affects performance or longevity without creating risk.

A notification states plainly what the problem is, what the customer should do, whether they should stop using the product, and what the company will do. It does not minimise the issue, and it does not require the customer to prove they own the product before receiving safety information.

Regulatory Reporting

Product safety incidents may require notification to market surveillance authorities. The assessment of whether a report is required is made by Compliance, not by the team that discovered the issue.

Where a product presents a serious risk, the obligation to notify arises promptly and is not deferred pending a complete investigation. A partial notification made on time is correct; a complete notification made late is not.

Records of the incident, the assessment, and the decision are retained for ten years, because product liability claims can arise long after a product is sold.

Disposal of Defective Stock

Stock confirmed as defective and not repairable is disposed of, never returned to sellable inventory and never sold as clearance.

Category	Disposal route
Electrical goods	Certified WEEE recycler, certificate retained
Items containing lithium batteries	Battery removed and recycled separately
Sunscreen and consumables past expiry	Chemical waste disposal
Textiles	Recycling where possible, otherwise general waste
Bulky goods	Recycler, with a weight record for reporting

Disposal is recorded against the stock record with the quantity, the reason, and the disposal route. Writing stock off without a recorded route leaves a gap that looks identical to theft in a later audit.

Trend Monitoring

Individual defects are handled case by case, but the pattern is where the value is. Quality reviews the following monthly:

- Return reasons coded as defective, by product and by supplier

- Receiving inspection failures, by supplier and by batch
- Warranty claims by product age, which distinguishes early-life failure from

normal wear

- Repeat contacts about the same product, which frequently precede a formal

defect report

A product whose defect-related return rate exceeds three percent over thirty days with at least twenty units sold is investigated regardless of whether any individual complaint looked serious.

Document Control

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